The millions of dollars spent on the World Cup by networks and corporate advertisers reflect the internationalization of business—the result of the desire of firms such as Coca-Cola, Hyundai/Kia, and Qatar Airways to market their products to consumers worldwide. The forces that have made the FIFA World Cup, and other sporting events like the Olympics, a growing international business are the same forces that affect firms worldwide as they compete in domestic and foreign markets. Changes in communications, transportation, and information technology not only facilitate domestic firms' foreign expansion but also aid foreign companies in their invasion of the domestic market. These trends have accelerated during the past decade as a result of the explosive growth of e-commerce, the reduction in trade and investment barriers sponsored by organizations such as the World Trade Organization and the EU, and the growing importance of emerging markets such as China and India.

The global economy profoundly affects your daily life, from the products you buy, to the prices you pay, to the interest rates you are charged, to the kind of job you hold. By writing this book, we hope to help you become more comfortable and effective in this burgeoning international business environment. To operate comfortably in this environment, you need to learn the basic ideas and concepts—the common body of knowledge—of international business. Further, you must understand how these ideas and concepts affect managers as they make decisions, develop strategies, and direct the efforts of others. You also need to be conversant with the fundamental mechanics and ingredients of the global economy and how they affect people, businesses, and industries. You need to understand the evolution of the global economy and the complex commercial and political relationships among Asia, Europe, North America, and the rest of the world.

To help ensure your future effectiveness in the international business world, we plan to equip you with the knowledge, insights, and skills that are critical to your functioning in a global economy. To that end, we have included hundreds of examples to help demonstrate how international businesses succeed—and how they sometimes fail. You also will read tips and extended examples about global companies in special features called "Bringing the World into Focus," "E-World," "Emerging Opportunities," "People, Planet, and Profits," and "Venturing Abroad," and you will have the chance to practice your growing skills with end-of-chapter exercises titled "Building Global Skills."

What Is International Business?

1.1. Discuss the meaning of international business.

International business consists of business transactions between parties from more than one country. Examples of international business transactions include buying materials in one country and shipping them to another for processing or assembly, shipping finished products from one country to another for retail sale, building a plant in a foreign country to capitalize on lower labor costs, or borrowing money from a bank in one country to finance operations in another. The parties involved in such transactions may include private individuals, individual companies, groups of companies, or governmental agencies.

How does international business differ from domestic business? Simply put, domestic business involves transactions occurring within the boundaries of a single country, whereas international business transactions cross national boundaries. International business can differ from domestic business for a number of other reasons, including the following:

- The countries involved may use different currencies, forcing at least one party to convert its currency into another.
- The legal systems of the countries may differ, forcing one or more parties to adjust their practices to comply with local law. Occasionally, the mandates of the legal systems may be incompatible, creating major headaches for international managers.
- The cultures of the countries may differ, forcing each party to adjust its behavior to meet the expectations of the other.
- The availability of resources differs by country. One country may be rich in natural resources but poor in skilled labor, whereas another may enjoy a productive, well-trained workforce but lack natural resources. Thus, the way products are produced and the types of products that are produced vary among countries. ("Bringing the World into Focus" provides additional insights into these issues.)

In most cases, the basic skills and knowledge needed to be successful are conceptually similar whether one is conducting business domestically or internationally. For example, the need for marketing managers to analyze the wants and desires of target audiences is the same regardless of whether the managers are engaged in international business or domestic business. However,

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understanding of international business and to develop these career skills: cases, boxes, review questions, discussion questions, and building global skills exercises, as well as the text itself.

So, why study international business? Consider that almost any large organization you work for will have international operations or be affected by the global economy. You need to understand this increasingly important area to better assess career opportunities and to interact effectively with other managers. For example, in your first job assignment, you could be part of a project team that includes members from Mexico, Uruguay, Canada, and the United States. A basic grasp of international business would help you understand more fully why the team was formed, what the company expects it to accomplish, and how you might most effectively interact with your colleagues. You also need to study international business because you may eventually work for a firm that is owned by a corporation headquartered in another country. For instance, 7.4 million U.S. citizens work for U.S. affiliates of foreign-owned corporations, and foreign subsidiaries of U.S. corporations employ 14.1 million Europeans, Asians, Africans, Australians, Canadians, and Latin Americans.[2]

Small businesses also are becoming more involved in international business. If one day you start your own business, you may find yourself using foreign-made materials or equipment, competing with foreign firms, and perhaps even selling in foreign markets. The growth of e-commerce has also opened up new opportunities for small businesses. Previously, to enter foreign markets, firms often needed to painstakingly build distribution networks and brand recognition country by country, a process that many times favored large firms over small ones. Today, a well-developed website can draw the business of consumers throughout the world without the need to establish a physical presence in each country, making it easier for small businesses to participate in the international marketplace.

Another reason for you to study international business is to keep pace with your future competitors. Business students in Europe have traditionally learned multiple languages, traveled widely, and had job experiences in different countries. Many of their programs require them to spend one or more semesters in different countries. Asian students, too, are actively working to learn more about foreign markets and cultures, especially those of North American and European countries. These students, training to become managers, will soon be in direct competition with you, either in jobs with competing companies or in positions within your own company. You need to ensure that your global skills and knowledge will aid your career, rather than allow their absence to hinder it.

You also need to study international business to stay abreast of the latest business techniques and tools because no single country has a monopoly on good ideas. For example, Japanese firms pioneered inventory management techniques such as **just-in-time (JIT) systems**. Under JIT, suppliers are expected to deliver necessary inputs just as they are needed. European firms such as Volvo and Japanese firms such as Honda were among the first to experiment with such labor practices as empowerment, quality circles, autonomous work groups, and cross-functional teams to raise the productivity and satisfaction of their workforces. Similarly, Chinese firms are cutting-edge innovators in electronic payments and artificial intelligence technologies. Managers who remain ignorant of the innovations of their international competitors are bound to fail in the global marketplace.

Finally, you need to study international business to obtain cultural literacy. As global cultures and political systems become even more intertwined than they are now, understanding and appreciating the similarities and differences of the world's peoples will become increasingly important. You will more often encounter colleagues, customers, suppliers, and competitors from different countries and cultural backgrounds. Knowing something about how and where their countries and companies fit into the global economy can help you earn their respect and confidence as well as give you a competitive edge in dealing with them. Conversely, if you know little or nothing about the rest of the world, you may come across as provincial, arrogant, or simply inept. This holds true regardless of whether you are a manager, a consumer, or just an observer of world events.

In Practice

- Studying international business is critical if you want to be an effective manager. You need global skills and knowledge to compete successfully with peers inside and outside your organization.
- The growth of the Internet and e-commerce allows even the smallest business to compete in international markets, as well as to be vulnerable to foreign competition.

For further consideration: Can you think of a business or trade in your country that is not affected by international business activity?

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International Business Activities

1.3. Identify and describe the basic forms of international business activities.

Historically, international business activity first took the form of exporting and importing (see "Bringing the World into Focus"). However, in today's complex world of international commerce, numerous other forms of international business activity are also common.

BRINGING THE WORLD INTO FOCUS

THE EARLY ERA OF INTERNATIONAL BUSINESS

International business originally consisted of international trade. Trade between nations can be traced back as far as 2000 B.C.E., when tribes in northern Africa took dates and clothing to Babylonia and Assyria in the Middle East and traded them for spices and olive oil. This trade continued to expand over the years, encompassing more regions and a growing list of resources and products. Even the Olympic Games have their roots in this early era, with the first games being held in Greece in 776 B.C.E. By 500 B.C.E. Chinese merchants were actively exporting silk and jade to India and Europe, and common trade routes were being established.

Success in international trade often led to political and military power. First Greece and then the Roman Empire prospered in part because of exploitation of international trade. Ancient wars were fought to maintain trade dominance. For example, the North African city of Carthage became an international business center that rivaled Rome in the third century B.C.E., as merchants from Europe brought precious metals and glass to trade for the grains, ivory, and textiles offered by African merchants. Over a period of 100 years, Rome fought three bloody wars with Carthage to maintain its trade supremacy, finally defeating the Carthaginians in 146 B.C.E. The victorious Romans burned the city and plowed salt into the soil so that crops could not grow, to ensure that Carthage would never again rise as a rival.

During the Middle Ages, Italy became a focal point for international business because of its central location in what was then the world market. The political and military strength of Venice, Genoa, and Florence reflected their roles as major centers of international commerce and banking that linked trade routes between Europe and China. In 1453 these trade routes were severed when the Turks conquered Constantinople (now Istanbul) and gained control of the Middle East. Europe's trade with China had been particularly profitable, so European governments became interested in finding new ocean routes to the Far East. Backed by the Spanish government, Christopher Columbus sailed west from Europe looking for such routes. His landing in the Caribbean islands served instead to identify an important new source of resources and, eventually, led to the colonization of the Americas by European countries.

As this colonization took place, new avenues of trade opened. Settlers throughout the Americas sold raw materials, precious metals, and grains to Europe in exchange for tea, manufactured goods, and other commodities. Most of the American territories eventually became independent countries and important contributors to the world economy.

Another phenomenon of great importance to international business developed during the colonial period and the subsequent Age of Imperialism: the growth of foreign direct investment (FDI) and multinational corporations (MNCs), both of which involve foreigners supplying and controlling investments in a host country. European capitalists from such imperialist powers as the United Kingdom, France, the Netherlands, Spain, Belgium, and Portugal nurtured new businesses in their colonial empires in the Americas, Asia, and Africa, establishing networks of banking, transportation, and trade that persist to this day. The earliest of these firms included the Dutch East India Company (established in 1600), the British East India Company (1602), and the Hudson's Bay Company (1670). These and latter-day trading companies, such as Jardine Matheson Holdings, Ltd., owned copper mines, tea and coffee estates, jute and cotton mills, rubber plantations, and the like as part of their global trading empires.

During the nineteenth century, the invention and perfection of the steam engine, coupled with the spread of railroads, dramatically lowered the cost of transporting goods over land and thereby made larger factories more economical. This development in turn broadened the extent of FDI. The forerunners of such large contemporary MNCs as Unilever, Ericsson, and Royal Dutch Shell took their first steps on the path to becoming international giants by investing in facilities throughout Asia, Europe, and the Americas during this period. New inventions promoting technological change further stimulated FDI. For example, in 1852 Samuel Colt built a factory in Great Britain to produce his famous firearms, and later in the century Dunlop built factories in Belgium, France, and Japan to exploit its tire-making expertise.

Michael Pustay

During the fifth century B.C.E., international commerce was dominated by Athens and its allies. The Peloponnesian War (431–404 B.C.E.) brought an end to Athens's power and prosperity. Today's visitors to the Acropolis are reminded of the poignant words of Edgar Allan Poe:
On desperate seas long wont to roam . . . /Thy Naiad airs have brought me home /To the glory that was Greece, /And the grandeur that was Rome.

Sources: Based on S. D. Chapman, "British-based investment groups before 1914," *Economic History Review*, vol. 38 (1985), pp. 230–235; John H. Dunning, *Multinational Enterprises and the Global Economy* Wokingham, England: Addison-Wesley Publishing Company, 1993, p. 3; Simcha Ronen, *Comparative and Multinational Management* New York: John Wiley & Sons, 1986.

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Exporting and Importing

Exporting is the selling of products made in one's own country for use or resale in other countries. **Importing** is the buying of products made in other countries for use or resale in one's own country. Exporting and importing activities often are divided into two groups. One group of activities is trade in goods—tangible products such as clothing, computers, and raw materials. Official U.S. government publications call this type of trade **merchandise exports and imports**; the British often refer to it as *visible trade*. The other group of activities is trade in services—intangible products such as banking, travel, and accounting activities. In the United States this type of trade is called **service exports and imports**; in the United Kingdom it is often called *invisible trade*.

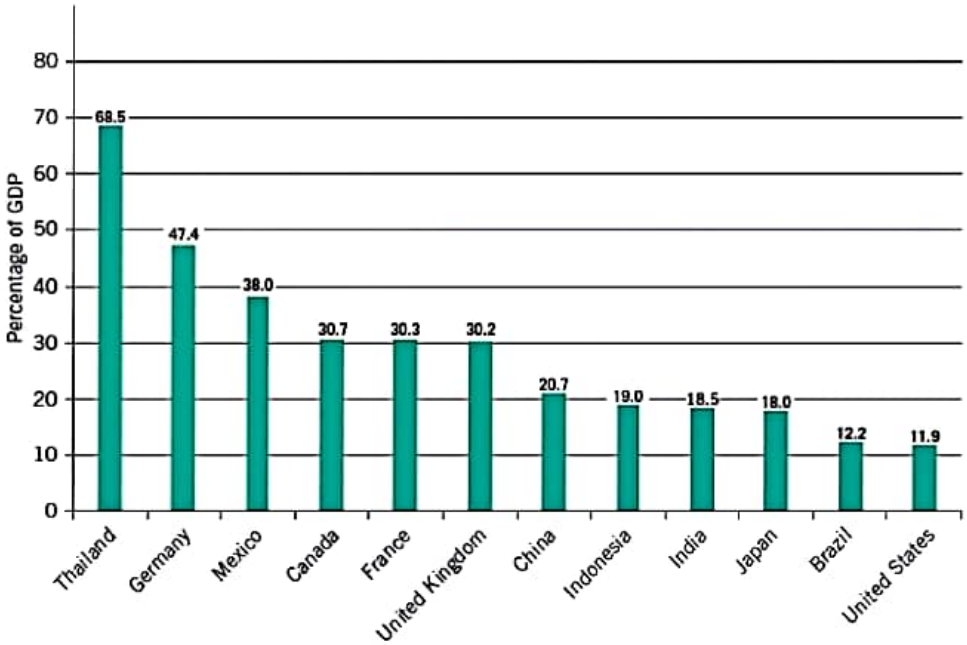
Exports are often critical to a firm's financial health. In a normal year, 70 percent of Boeing's commercial aircraft sales, which generated $57 billion of revenue in 2017, are to foreign customers, creating tens of thousands of jobs at the company and thousands more at the factories of its parts suppliers. International sales often are equally important to smaller firms, such as Task Force Tips, an Indiana manufacturer of fire hose nozzles, which exports its specialized products to 100 countries.[3] Trade is important to countries as well. As Figure 1.1 shows, exporting accounts for more than two-thirds of the gross domestic products (GDP) of Thailand, and over 25 percent of the GDPs of Canada, France, Germany, Mexico, and the United Kingdom.

International Investments

The second major form of international business activity is **international investments**—capital supplied by residents of one country to residents of another. Such investments are divided into two categories: foreign direct investments and foreign portfolio investments. **Foreign direct investments (FDI)** are investments made for the purpose of actively controlling property, assets, or companies located in host countries. (The country in which the parent company's headquarters is located is called the **home country**; any other country in which the company operates is known as a **host country**.) An example of an FDI is the purchase of all the common stock of the UK's Cadbury PLC by Kraft. After the purchase, Kraft installed its own executives to oversee Cadbury's operations and integrate them into Kraft's global procurement and marketing programs.

Foreign portfolio investments (FPI) are purchases of foreign financial assets (stocks, bonds, and certificates of deposit) for a purpose other than control. An example of a portfolio investment

FIGURE 1.1
Exports of Goods and Services as a Percentage of GDP for Some Key Countries (2017 data)



Source: Based on World Trade Organization Trade Profiles 2018.

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is the purchase of 1,000 shares of Sony's common stock by a Danish pension fund. With this investment the pension fund is trying to raise the rate of return on its asset portfolio rather than control Sony's decision making. For the same reason, many investors in recent years have bought shares of mutual funds that specialize in foreign stocks and bonds.

Other Forms of International Business Activity

International business activity can also take other forms. Licensing, franchising, and management contracts are among the most important. **International licensing** is a contractual arrangement in which a firm in one country licenses the use of its intellectual property (patents, trademarks, brand names, copyrights, or trade secrets) to a firm in a second country in return for a royalty payment. The Walt Disney Company may permit a German clothing retailer to market children's pajamas embroidered with Mickey Mouse's smiling face in return for a percentage of the company's sales. **International franchising**, a specialized form of international licensing, occurs when a firm in one country (the franchisor) authorizes a firm in a second country (the franchisee) to use its operating systems as well as its brand names, trademarks, and logos in return for a royalty payment. For example, McDonald's Corporation franchises its fast-food restaurants worldwide. Finally, an **international management contract** is an arrangement wherein a firm in one country agrees to operate facilities or provide other management services to a firm in another country for an agreed-on fee. Management contracts are common, for instance, in the upper end of the international hotel industry. Hoteliers such as Marriott and Hilton often do not own the expensive hotels that bear their brand names throughout the world but rather operate them under management contracts.

A firm that engages in any of these types of transactions can be labeled an international business. More formally, we can define an **international business** as any organization that engages in cross-border commercial transactions with individuals, private firms, or public sector organizations. But note that we have also used the term *international business* to mean cross-border commercial transactions. Whenever you see this term, you need to determine, from the context in which it is being used, whether it is referring to a general process involving transactions across borders or to a single organization engaging in specific transactions across borders.

The term **multinational corporation (MNC)** is used to identify firms that have extensive involvement in international business. A more precise definition of an MNC is a firm "that engages in FDI and owns or controls value-adding activities in more than one country."[4] In addition to owning and controlling foreign assets, MNCs typically buy resources in a variety of countries, create goods or services in a variety of countries, and then sell those goods and services in a variety of countries. MNCs generally coordinate their activities from a central headquarters but may also allow their affiliates or subsidiaries in foreign markets considerable latitude in adjusting their operations to local circumstances. Because some large MNCs, such as accounting partnerships and Lloyd's of London, are not true corporations, some writers distinguish between multinational corporations and **multinational enterprises (MNEs)**. Further, not-for-profit organizations, such as the IOC and the International Red Cross, are not true enterprises, so the term **multinational organization (MNO)** can be used when one wants to refer to both not-for-profit and profit-seeking organizations. Table 1.1 lists the world's largest corporations in 2017.

In Practice

- Trade between individuals, tribes, and then nations has occurred for thousands of years. Throughout the centuries, the desire to control trade and trade routes has often been the cause of conflict between countries.
- The most important modes of international commerce include international trade and international investing, as well as more specialized business activities like licensing, franchising, and management contracts.

For further consideration: Analyze the information in Table 1.1. How would you characterize the world's largest corporations? How would you characterize the relative changes in their sizes?

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TABLE 1.1 The World's Largest Corporations

	Revenues (in billions of U.S. dollars)	
	2017	2007
Walmart	500.3	379.0
State Grid	348.9	132.9
Sinopec Group	327.0	159.3
China National Petroleum	326.0	129.8
Royal Dutch Shell	311.9	355.8
Toyota Motor	265.2	230.2
Volkswagen	260.0	149.1
BP	244.6	291.4
Exxon Mobil	244.4	372.8
Berkshire Hathaway	242.1	118.2
Apple	229.2	24.0
Samsung Electronics	211.9	106.0
McKesson	208.4	101.7
Glencore	205.5	142.0
UnitedHealth Group	201.2	75.4
Daimler	185.2	177.2
CVS Health	184.8	76.3
Amazon	177.9	14.8
EXOR Group	161.7	n.a.
AT&T	160.6	118.9

Sources: Based on www.fortune.com, accessed July 30, 2018; *Fortune*, July 21, 2008, pp. 161-171; "Glencore's turnover soars to $142 billion in 2007," www.metalbulletin.com, March 11, 2008, various corporate websites.

The Contemporary Causes of Globalization

1.4. Discuss the causes of globalization.

International business has grown so rapidly in the past decade that many experts believe we are living in the era of globalization. **Globalization can be defined** as "the inexorable integration of markets, nation-states, and technologies . . . in a way that is enabling individuals, corporations and nation-states to reach around the world farther, faster, deeper, and cheaper than ever before."[5]

There is little doubt that international trade and international direct investment—the two primary vehicles for conducting international business—are becoming increasingly important in the world's economy. Globalization has led to an intensification of the role of international trade in the economies of the world. As Figure 1.2 indicates, the ratio of international trade to economic activity has risen dramatically. (You may note the impact of the global recession: In 2009, trade volumes decreased more than the world's GDP did, thus causing the ratio of trade to GDP to fall.) In 1960, merchandise trade accounted for about 9 percent of the total GDP of the world's nations; by 2017, it represented 22 percent. International trade in services added another 6 percent to this total. Some of the rapid growth in international trade in services is the result of the development of the Internet and associated technologies, which makes international trade in such diverse industries as banking, consulting, education, retailing, and gambling more feasible. For example, many Canadian and U.S. companies have shifted their customer service and data entry operations to areas with lower labor costs in and outside North America. As long as the transaction can be performed electronically, the physical location of the facility is of little importance. India, for example, has a growing call-center business, providing customer care and troubleshooting services for customers of numerous MNCs throughout the world.

Another manifestation of globalization is the growing importance of FDI—investments made by citizens of one country to operate and control assets in another. As Figure 1.3 demonstrates, the importance of FDI in the world's economy has risen significantly over time. In 1980, the stock of FDI was only 6 percent of the world's GDP; by 2017, the stock of FDI was 39 percent of that year's GDP.

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The growth of international business in recent years has been clear and dramatic, as depicted in Figures 1.2 and 1.3. But why has this growth occurred? And why is international business activity likely to continue to skyrocket during the next decade? There are two broad reasons: strategic imperatives, which motivate globalization, and environmental changes, which facilitate it.

Strategic Imperatives

Several basic motives have compelled firms to become more global in both their orientation and actions. These strategic imperatives include leveraging a firm's core competencies, acquiring resources at low cost, expanding into new markets, and competing with industry rivals.

TO LEVERAGE CORE COMPETENCIES One major motive for globalization is the opportunity to leverage a core competency that a firm has developed in its home market. A **core competency** is a distinctive strength or advantage that is central to a firm's operations. By using its core competency in new markets, the firm is able to increase its revenues and profits. Samsung, for example, developed cutting-edge cellular phone technology that was eagerly adopted by domestic consumers in South Korea. Samsung's managers quickly recognized that the firm could increase its revenues and profits by expanding its operations and sales in other countries. Similarly, since its birth in 1972, Singapore Airlines has worked hard to develop award-winning standards of customer satisfaction and reliability that have drawn millions of Asian passengers to its flights. Believing that travelers in other markets would welcome the tender loving care for which the carrier is renowned, Singapore Airlines has deftly expanded its services to more than 131 cities in 35 countries throughout the world.

TO ACQUIRE RESOURCES AND SUPPLIES Another important reason for going international is to acquire resources such as materials, labor, capital, or technology. In some cases, organizations must go to foreign sources because certain products or services are either scarce or unavailable locally. For example, North American grocery wholesalers buy coffee and bananas from South America; Japanese firms buy forest products from Canada; and firms worldwide buy oil from the Middle East and Africa. In other cases, firms simply find it easier or more economical to buy from other countries. For instance, many U.S. advertising agencies shoot commercials overseas. Cape Town, South Africa, has become a popular site, for example, because production crews and equipment can be hired there for less than 40 percent of their cost in Los Angeles.[6] As the chapter's closing case, "Demography Is Destiny," indicates, demographic changes will play a major role in the future resource acquisition strategies of MNCs.

TO SEEK NEW MARKETS Seeking new markets is also a common motive for international expansion. When a firm's domestic market matures, it becomes increasingly difficult to generate high revenue and profit growth. For example, the market for toothpaste in Canada, the United States, and the EU can be classified as mature—most people there have had the financial resources for decades to regularly purchase toothpaste. Thus, firms like Procter & Gamble, Unilever, and Colgate-Palmolive cannot expect to achieve significant growth in sales from their toothpaste products in these markets and have aggressively moved into emerging markets like China, India, and Indonesia to seek greener pastures. Expansion into new markets carries with it two other benefits. First, a firm may be able to achieve economies of scale, lowering its average costs as its production increases. Second, such expansion diversifies a firm's revenue stream. As it serves more countries, the firm becomes less dependent on its sales in any one country, thereby protecting itself should that country's economy turn sour.

TO BETTER COMPETE WITH RIVALS Finally, businesses sometimes enter foreign markets to better compete with industry rivals. For example, as Coca-Cola expands aggressively around the world, rival Pepsi-Cola has little choice but to follow and try to keep up. Should Pepsi allow Coca-Cola to dominate important markets, Coca-Cola could use profits from those markets to finance attacks on Pepsi in still other markets. Such thinking permeates industries such as earthmoving equipment, smartphones, and aircraft manufacturing, where the leading firms continually attack and counterattack each other in every region of the world to prevent their rivals from getting a stranglehold in any country.

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The Environmental Causes of Globalization

These strategic imperatives provide firms with the motivation to internationalize their operations. However, firms would not have been able to expand their international activities to the extent we have observed during the post–World War II period without significant changes in two key areas: the political environment and the technological environment.

CHANGES IN THE POLITICAL ENVIRONMENT During the first half of the twentieth century, firms wishing to enter new markets were often frustrated by barriers against foreign trade and investment erected by national governments. After World War I, many countries, including the United States, France, the United Kingdom, and Germany, imposed tariffs and quotas on imported goods and favored local firms on government supply contracts. As a result, international trade and investment declined throughout the 1930s. However, after World War II these policies were reversed. The major trading powers negotiated reductions in tariffs and quotas and eliminated barriers to FDI within their borders. Many of the reductions were negotiated through the General Agreement on Tariffs and Trade (GATT) and its successor, the World Trade Organization (WTO). Regional accords, such as the EU, the Mercosur Accord, and the North American Free Trade Agreement (NAFTA), also have relaxed trade and investment barriers among their members.

TECHNOLOGICAL CHANGES Changes in governmental policies encouraged international business activity. Improvements in technology—particularly in communication, transportation, and information processing—made international business more feasible and more profitable. Think about the difficulties of conducting business internationally when the primary form of transportation was the sailing ship, the primary form of data processing was pencil and paper, and the primary form of communication was the letter delivered by a postman on horseback. Transportation improvements during the past 150 years—from sailing ship to steamship to seaplane to jet airliner—mean that a manager in London no longer needs to spend weeks traveling to confer with colleagues in New Delhi, Toronto, or New York. Advances in transportation also have stimulated growth in international tourism, which is the largest component of international trade in services. The increasing ability of computers to rapidly process vast quantities of information allows firms to manage offices and factories located in every corner of the globe. Exxon Mobil, for example, relies on its computers to continuously adjust the output of its refineries and the sailings of its tankers to meet changes in worldwide demand for its products. Changes in communications technology, such as the advent of electronic mail, smartphones, and tablet computers, enable a manager in Tokyo to receive reports from colleagues in Amsterdam, Abidjan, and Auckland in seconds rather than days. These technological advances make managing distant businesses far easier today than executives would have dreamed possible just a few decades ago and so have facilitated expansion into international markets. However, globalization is not without cost or consequence, as "Emerging Opportunities" indicates.

Globalization and Emerging Markets

We noted that globalization has led to an intensification of international business activity. It is also marked by an expansion of such activity into new markets previously insulated from the international marketplace.

The political changes discussed previously have played a major role in this process. During the Cold War between the United States and the Soviet Union, many scholars divided the world into three regions: the First World, consisting of the rich, major trading nations from Western Europe, North America, Australia, and parts of Asia, most of which were allied diplomatically with the United States; the Second World, consisting of the Soviet Union and allied Communist states; and the Third World, consisting primarily of the low- to medium-income countries populating Latin America, Africa, and most of Asia. Most international business activity took place between members of the First World. The Second World walled itself off to commerce with the First World, while the Third World was primarily viewed as a supplier of raw materials and commodities to the First World countries.

This is no longer the case: The collapse of European Communism, the ideological and policy changes undertaken by China and India, and the reduction of trade barriers have transformed the global marketplace. Shakespeare once wrote, "All the world's a stage." Today, savvy businesspersons recognize that business opportunities are no longer limited to the traditional markets of

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